

The Andhra Scientific Company Limited (Acquisition And Transfer Of Undertakings) Act, 1982

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State of Andhra Pradesh - Act

The Andhra Scientific Company Limited (Acquisition And Transfer Of Undertakings) Act, 1982

ANDHRA PRADESH

India

The Andhra Scientific Company Limited (Acquisition And Transfer Of Undertakings) Act, 1982

Act 71 of 1982

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The Andhra Scientific Company Limited (Acquisition And Transfer Of Undertakings) Act, 1982

(71 of 1982)

1848.

Statements of Objects and Reasons. - The Andhra Scientific Company Limited, Machilipatnam is engaged in the manufacture and Production of various types of scientific instruments. From a small beginning, the Company had grown to be the largest private sector undertaking in the field of scientific instruments. Building up steadily, the Company attained a turnover of Rs. 45 lakhs by 1965-66. A downward trend started thereafter and in 1967-68. the Company incurred a loss of Rs. 1.91 lakhs which increased to Rs. 25.62 lakhs in 1971-72. In the light of the recommendations of certain Governmental Committees and in view of the fact that the Company had a body of talented and dedicated

scientists and engineers its management was taken over by the Central Government under section 18AA of the Industries (Development and Regulation) Act, 1951, in June, 1972.

2. Though the Central Government was advancing some amounts as loans during the period of its management, the Company was facing acute shortage of liquid funds for its working capital requirements. Funds are also required for modernisation of the plant and machinery. But pending nationalisation of the Company, it was not possible for Government to invest the required amount of funds in the Company. Studies made to determine the future set-up of the Company revealed that the undertakings of the Company should be nationalised in order to consolidate the gains of management and to ensure uninterrupted supply of critical items of defence production. In view of the importance of the products manufactured by the Company and the loss of employment to more than 850 employees of the Company if the company were to close down, it is considered necessary to take over the undertakings of the Company.

3. The Bill seeks to achieve the aforesaid object.

Apart from providing for the acquisition and transfer of the undertakings of the Company. the Bill provides for the payment of an amount for such acquisition, vesting of the undertakings of the Company in a Government company, appointment of a Commissioner of Payments for the purpose of disbursing the amount payable to the Company and for other incidental and consequential matters.

[13th November, 1982]

An Act to provide for the acquisition and transfer of the undertakings of the Andhra Scientific Company Limited, with a view to securing the proper management of such undertakings so as to subserve the Interests of the general public by ensuring the continuity of production of scientific instruments which are vital to the needs of the country and for matters connected therewith or incidental thereto.

WHEREAS the Andhra Scientific Company Limited had been engaged in the manufacture and production of articles mentioned in the First Schedule to the Industries (Development and Regulation) Act, 1951, namely, scientific instruments;

AND WHEREAS the management of the undertakings of the Andhra Scientific Company Limited was taken over by the Central Government under section 18AA of the Industries (Development and Regulation) Act, 1951;

AND WHEREAS it is necessary to acquire the undertakings of the Andhra Scientific Company Limited to ensure that the interests of the general public are served by the continuance, by the undertakings of the Company, of the production of the aforesaid articles which are vital to the needs of the country;

BE it enacted by Parliament in the Thirty-third Year of the Republic of India as follows:

Chapter I

PRELIMINARY

1.

Short title and commencement. (1) This Act may be called The Andhra Scientific Company Limited (Acquisition and Transfer of Undertakings) Act, 1982.

(2)

The provisions of sections 27 and 28 shall come into force at once and the remaining provisions of this Act shall be deemed to have come into force on the 1st day of July, 1981.

2.

Definitions. - In this Act, unless the context otherwise requires,--

(a)

"appointed day" means the 1st day of July, 1981:

(b)

"Commissioner" means the Commissioner of Payments appointed under section 15:

(c)

"Company" means the Andhra Scientific Company Limited, a company within the meaning of the Companies Act, 1956, and having its registered office at Machilipatnam in the State of Andhra Pradesh;

(d)

"Custodian" means the Custodian appointed under sub-section (2) of section 9 to take over, or carry on, the management of the Company;

(e)

"notification" means a notification published in the Official Gazette;

(f)

"prescribed" means prescribed by rules made under this Act;

(g)

"specified date", in relation to any provision of this Act, means such date as the Central Government may, by notification, specify for the purposes of that provision and different dates may be specified for different provisions of this Act;

(h)

"the Government company" means the Government company in which the undertakings of the Company are directed to vest under sub-section (1) of section 6;

(i)

words and expressions used herein and not defined but defined in the Companies Act, 1956, shall have the meanings, respectively, assigned to them in that Act.

Chapter II

ACQUISITION AND TRANSFER OF THE UNDERTAKINGS OF THE COMPANY

3.

Transfer to, and vesting in, the Central Government of the undertakings of the Company. - On the appointed day, the undertakings of the Company, and the right, title and interest of the Company in relation to its undertakings, shall, by virtue of this Act, stand transferred to, and shall vest in, the Central Government.

4.

General effect of vesting. - (1) The undertakings of the Company shall be deemed to include all assets, rights, lease-holds, powers, authorities and privileges, and all property, movable and immovable, including lands, buildings, workshops, stores, instruments, machinery and equipment, cash balances, cash on hand, cheques, demand drafts, reserve funds, investments, book debts and all other rights and interests in, or arising out of, such property as were immediately before the appointed day in the ownership, possession, power or control of the Company, whether within or outside India, and all books of account, registers and all other documents of whatever nature relating hereto.

(2)

All properties as aforesaid which have vested in the Central Government under section 3 shall, by force of such vesting, be freed and discharged from any trust, obligation, mortgage, charge, lien and all other incumbrances affecting them, and any attachment, injunction, decree or order of any court, tribunal or other authority restricting the use of such properties in any manner or appointing any receiver in respect of the whole or any part of such properties shall be deemed to have been withdrawn.

(3)

Every mortgagee of any property which has vested under this Act in the Central Government and every person holding any charge, lien or other interest in, or in relation to, any such property shall give, within such time and in such manner as may be prescribed, an intimation to the Commissioner of such mortgage, charge, lien or other interest.

(4)

For the removal of doubts, it is hereby declared that the mortgagee of any property referred to in sub-section (3) or any other person holding any charge, lien or other interest in, or in relation to, any such property shall be entitled to claim, in accordance with his rights and interests, payment of the mortgage money or other dues, in whole or in part, out of the amount specified in section 7 and also out of the amounts determined under section 8. but no such mortgage, charge, lien or other interest shall be enforceable against any property which has vested in the Central Government.

(5)

Any licence or other instrument granted to the Company in relation to any undertaking which has vested in the Central Government under section 3 at any time before the appointed day and in force immediately before that day shall continue to be in force on and after such day in accordance with its tenor in relation to and for the purposes of such undertaking, and, on and from the date of vesting of such undertaking under section 6 in a Government company, such Government company shall be deemed to be substituted in such licence or other instrument as if such licence or other instrument had been granted to such Government company and that Government company shall hold it for the remainder of the period for which the Company would have held it under the terms thereof.

(6)

If, on the appointed day, any suit, appeal or other proceeding of whatever nature in relation to any property which has vested in the Central Government under section 3, instituted or preferred by or against the Company, is pending, the

same shall not abate, be discontinued or be, in any way, prejudicially affected by reason of the transfer of the undertakings of the Company or of anything contained in this Act, but the suit, appeal or other proceeding may be continued, prosecuted or enforced by or against the Central Government, or, where the undertakings of the Company are directed, under section 6, to vest in a Government company, by or against the Government company.

5.

Company to be liable for certain prior liabilities. - (1) Every liability of the Company in respect of any period prior to the appointed day, shall be the liability of the Company and shall be enforceable against it, and not against the Central Government, or, where the undertakings of the Company are directed, under section 6, to vest in a Government company, against that Government company,

(2)

For the removal of doubts, it is hereby declared that--

(a)

save as otherwise expressly provided in this section or in any other provision of this Act, no liability of the Company in respect of any period prior to the appointed day, shall be enforceable against the Central Government, or, where the undertakings of the Company are directed, under section 6, to vest in a Government company, against that Government company;

(b)

no award, decree or order of any court, tribunal or other authority in relation to the undertakings of the Company, passed after the appointed day, in respect of any matter, claim or dispute which arose before that day, shall be enforceable against the Central Government, or, where the undertakings of the Company are directed, under section 6, to vest in a Government company, against that Government company;

(c)

no liability incurred by the Company before the appointed day, for the contravention of any provision of law for the time being in force, shall be enforceable against the Central Government, or, where the undertakings of the Company are directed, under section 6, to vest in a Government company, against that Government company.

6.

Power of Central Government to direct vesting of the undertakings of the Company in a Government Company. - (1) Notwithstanding anything contained in sections 3 and 4, the Central Government may, subject to such terms and conditions as it may think fit to impose, direct, by notification, that the undertakings of the Company and the right, title and interest of the Company in relation to its undertakings, which have vested in that Government under section 3, shall, instead of continuing to vest in the Central Government, vest in a Government company either on the date of the notification or on such earlier or later date (not being a date earlier than the appointed day) as may be specified in the notification.

(2)

Where the right, title and interest of the Company, in relation to its undertakings, vest in a Government company under sub-section (1), the Government company shall, on and from the date of such vesting, be deemed to have become the owner in relation to such undertakings, and all rights and liabilities of the Central Government in relation to such undertakings shall, on and from the date of such vesting, be deemed to have become the rights and liabilities of the Government company.

Chapter III

PAYMENT OF AMOUNTS

7.

Payment of amount. - For the transfer to, and vesting in, the Central Government, under section 3, of the undertakings of the Company and the right, title and interest of the Company in relation to its undertakings, there shall be given by the Central Government to the Company, in cash and in the manner specified in Chapter VI, an amount of rupees two hundred and twenty-four lakhs and ten thousand.

8.

Payment of further amounts. - (1) For the deprivation of the Company of the management of the undertakings, there shall be given by the Central Government to the Company in cash, an amount calculated at the rate of rupees ten thousand per annum for the period commencing on the date on which the management of the undertakings of the Company was taken over in pursuance of the order made by the Central Government under section 18AA of the

Industries (Development and Regulation) Act, 1951, and ending on the appointed day.

(2)

In consideration of the retrospective operation of the provisions of sections 3, 4 and 5, there shall also be given by the Central Government to the Company in cash, an amount calculated at the rate of rupees ten thousand per annum for the period commencing on the appointed day and ending on the date on which this Act receives the assent of the President.

(3)

The amount specified in section 7, and the amount determined in accordance with the provisions of sub-sections (1) and (2) shall carry simple interest at the rate of four per cent. per annum for the period commencing on the appointed day and ending on the date on which payment of such amounts made by the Central Government to the Commissioner.

(4)

The amounts determined in accordance with the provisions of sub-sections (1), (2) and (3) shall be given by the Central Government to the Company in addition to the amount specified in section 7.

(5)

For the removal of doubts, it is hereby declared that the liabilities of the Company in relation to its undertakings which have vested in the Central Government under section 3 shall be discharged from the amount referred to in section 7, and also from the amounts determined under sub-sections (1), (2) and (3), in accordance with the rights and interests of the creditors of the Company.

Chapter IV

MANAGEMENT, ETC. OF THE UNDERTAKINGS OF THE COMPANY

9.

Management, etc., of the undertakings of the Company. - (1) The general superintendence, direction, control and management of the affairs and business of the undertakings of the Company, the right, title and interest in relation to which have vested in the Central Government under section 3, shall,----

(a)

where a direction has been made by the Central Government under sub-section (1) of section 6, vest in the Government company specified in such direction; or.

(b)

where no such direction has been made by the Central Government; vest in one or more Custodians appointed by the Central Government under sub-section (2), and thereupon the Government company so specified or the Custodian or Custodians so appointed, as the case may be, shall be entitled to exercise, to the exclusion of all other persons, all such powers and do all such things as the Company is authorised to exercise and do in relation to its undertakings.

(2)

The Central Government may appoint one or more individuals or a Government company as the Custodian or Custodians of the undertakings of the Company in relation to which no direction has been made by it under sub-section (1) of section 6. (3) The Custodian or Custodians so appointed shall receive, from the funds of the undertakings of the Company, such remuneration as the Central Government may fix and shall hold office during the pleasure of the Central Government.

10.

Duty of persons in charge of management of the undertakings of the Company to deliver all assets, etc. - (1) On the vesting of the management of the undertakings of the Company in a Government company or on the appointment of a Custodian or Custodians, all persons in charge of the management of the undertakings of the Company immediately before such vesting or appointment, shall be bound to deliver to the Government company or the Custodian or Custodians, as the case may be, all assets, books of account, registers or other documents in their custody relating to the undertakings of the Company.

(2)

The Central Government may issue such directions as it may deem desirable in the circumstances of the case to the Government company or the Custodian or Custodians, and such Government company or the Custodian or Custodians may also, if it is considered necessary so to do, apply to the Central Government at any time for instructions as to the manner in which the management of the undertakings of the Company shall be conducted or in relation to any other matter arising in the course of such management.

11.

Duty of persons to account for assets, etc., in their possession. - (1) Any person who has, on the appointed day, in his possession or under his control, any assets, books, documents or other papers relating to any undertaking owned by the Company, which have vested in the Central Government or in a Government company under this Act, and which belong to the Company, or would have so belonged, if the undertakings owned by the Company had not vested in the Central Government or such Government company, shall be liable to account for the said assets, books, documents and other papers to the Central Government or the Government company and shall deliver them up to the Central Government or such Government company or to such person or persons as the Central Government or the Government company may specify in this behalf.

(2)

Central Government or the Government company aforesaid may take or cause to be taken all necessary steps for securing possession of the undertakings of the Company which have vested in the Central Government or the Government company under this Act.

(3)

The Company shall, within such period as the Central Government may allow in this behalf, furnish to that Government a complete inventory of all its properties and assets; as on the appointed day, pertaining to the undertakings which have vested in the Central Government under section 3, and, for this purpose, the Central Government or the Government company aforesaid shall afford to the Company all reasonable facilities.

12.

Accounts and audit. - The Custodian or Custodians of the undertakings of the Company shall maintain an account of the undertakings of the Company in such form and manner and under such conditions as may be prescribed and the provisions of the Companies Act, 1956, shall apply to the audit of the accounts so maintained as they apply to the audit of the accounts of a company.

Chapter V

PROVISIONS RELATING TO THE EMPLOYEES OF THE COMPANY

13.

Continuance of employees. - (1) Every person who has been, immediately before the appointed day, employed in any undertaking of the Company shall become,----

(a)

on and from the appointed day, an employee of the Central Government, and

(b)

where the undertaking of the Company are directed, under sub-section (1) of section 6, to vest in a Government company, an employee of the Government company on and from the date of such vesting.

and shall hold office or service under the Central Government, or the Government company, as the case may be, with the same rights and privileges as to pension, gratuity and other matters as would have been admissible to him if there had been no such vesting and shall continue to do so unless and until his employment under the Central Government or the Government company, as the case may be, is duly terminated or until his remuneration and other conditions of service are duly altered by the Central Government or the Government company, as the case may be.

(2)

Notwithstanding anything contained in the Industrial Disputes Act, 1947, or in any other law for the time being in force, the transfer of the services of any officer or other person employed in any undertaking of the Company, to the Central Government or the Government company, shall not entitle such officer or other employee to any compensation under this Act or any other law for the time being in force and no such claim shall be entertained by any court, tribunal or other authority.

14.

Provident fund and other funds. - (1) Where the Company has established a provident fund, superannuation, welfare or other fund for the benefit of the persons employed in any of its undertakings, the moneys relatable to the officers or other employees whose services have become transferred by or under this Act to the Central Government or the Government company, shall, out of the moneys standing, on the appointed day, to the credit of such provident fund, superannuation, welfare or other fund, stand transferred to, and vest, in the Central Government or the Government company, as the case may be.

(2)

The moneys which stand transferred under subsection (1) to the Central Government or the Government company, as the case may be, shall be dealt with by that Government or Government company in such manner as may be prescribed.

Chapter VI

[*]

[For the Andhra Scientific Company Limited (Acquisition and Transfer of Undertakings) Administration of Funds Rules, 1985, See Gazette of India, 1.11.1985, Part II, Section 4, Ext., page 3 (No. 11).]

COMMISSIONER OF PAYMENTS

15.

Appointment of Commissioner of Payments. - (1) The Central Government shall, for the purpose of disbursing the amounts payable to the Company under sections 7 and 8, by notification, appoint a Commissioner of Payments.

(2)

The Central Government may appoint such other persons as it may think fit to assist the Commissioner and thereupon the Commissioner may authorise one or more of such persons also to exercise all or any of the powers exercisable by him under this Act and different persons may be authorised to exercise different powers.

(3)

Any person authorised by the Commissioner to exercise any of the powers exercisable by the Commissioner may exercise those powers in the same manner and with the same effect as if they have been conferred on that person directly by this Act and not by way of authorisation.

(4)

The salaries and allowances of the Commissioner and other persons appointed under this section shall be defrayed out of the Consolidated Fund of India.

16.

Payment by Central Government to the Commissioner. - (1) The Central Government shall, within thirty days from the specified date [*]

[1912-1985 appointed as such specified date - See Gazette of India, 19-12-1985, Part II, Section 4, Ext., Page 2. (No. 12)]

, pay in cash to the Commissioner, for payment to the Company,---

(a)

an amount equal to the amount specified in section 7; and

(b)

an amount equal to the amounts payable to the Company under section S.

(2)

A deposit account shall be opened by the Central Government in favour of the Commissioner in the Public Account of India and every amount paid under this Act to the Commissioner shall be deposited by him to the credit of the said deposit account and the said deposit account shall be operated by the Commissioner.

(3)

Records shall be maintained by the Commissioner in respect of the undertakings of the Company in relation to which payments have been made to him under this Act.

(4)

Interest accruing on the amount standing to the credit of the deposit account referred to in sub-section (2) shall ensure to the benefit of the Company.

17.

Certain powers of the Central Government or Government company. - (1) The Central Government or the Government company, as the case may be, shall be entitled to receive, up to the specified date,' to the exclusion of all other persons, any money due to the Company in relation to its undertakings which have vested in the Central Government or the Government company, and realised after the appointed day, notwithstanding that the realisation pertains to a period prior to the appointed day.

(2)

The Central Government or the Government company, as the case may be, may make a claim to the Commissioner

with regard to every payment made by that Government or Government company after the appointed day, for discharging any liability of the Company in relation to any period prior to the appointed day, and every such claim shall have priority, in accordance with the priorities attaching under this Act, to the matter in relation to which such liability has been discharged by the Central Government or the Government company.

(3)

Save as otherwise provided in this Act, the liabilities of the Company in respect of any transaction prior to the appointed day, which have not been discharged on or before the specified date [*]

[1912-1985 appointed as such specified date - See Gazette of India, 19-12-1985, Part II, Section 4, Ext., Page 2. (No. 12)]

shall be the liabilities of the Company.

18.

Claims to be made to the Commissioner. - Every person having a claim against the Company with regard to any of the matters specified in the Schedule pertaining to any undertaking owned by it shall prefer such claim before the Commissioner within thirty days from the specified date [*]

[1912-1985 appointed as such specified date - See Gazette of India, 19-12-1985, Part II, Section 4, Ext., Page 2. (No. 12)]

Provided that if the Commissioner is satisfied that the claimant was prevented by sufficient cause from preferring the claim within the said period of thirty days, he may entertain the claim within a further period of thirty days, but not thereafter.

19.

Priority of chime. - The claims made under section 18 shall have priorities in accordance with the following principles, namely :-

(a)

Category I shall have precedence over all other categories and Category II shall have precedence over Category III, and so on;

(b)

the claims specified in each of the categories shall rank equally and be paid in full, but, if the amount is insufficient to meet such claims in full, they shall abate in equal proportions and be paid accordingly; and

(c)

the question of discharging the liability with regard to a matter specified in a lower category shall arise only if a surplus is left after meeting all the liabilities specified in the immediately higher category.

20.

Examination of claims. - (1) On receipt of the claims made under section 18, the Commissioner shall arrange the claims in the order of priorities specified in the Schedule and examine the same in accordance with such order.

(2)

If, on examination of the claims, the Commissioner is of opinion that the amount paid to him under this Act is not sufficient to meet the liabilities specified in any lower category, he shall not be required to examine the claims in respect of such lower category.

21.

Admission or rejection of claims. - (1) After examining the claims with reference to the priorities specified in the Schedule, the Commissioner shall fix a certain date on or before which every claimant shall file the proof of his claim.

(2)

Not less than fourteen days' notice of the date so fixed shall be given by advertisement in one issue of any daily newspaper in the English language having circulation in the major part of the country and in one issue of any daily newspaper in such regional language as the Commissioner may consider suitable, and every such notice shall call upon the claimant to file the proof of his claim with the Commissioner within the period specified in the advertisement.

(3)

Every claimant who fails to file the proof of his claim within the period specified by the Commissioner shall be excluded from the disbursements made by the Commissioner.

(4)

The Commissioner shall, after such investigation as may, in his opinion, be necessary and after giving the Company an opportunity of refuting the claim and after giving the claimant a reasonable opportunity of being heard, by order in writing, admit or reject the claim in whole or in part.

(5)

The Commissioner shall have the power to regulate his own procedure in all matters arising out of the discharge of his functions, including the place or places at which he may hold his sitting and shall, for the purpose of making any investigation under this Act, have the same powers as are vested in a Civil Court under the Code of Civil Procedure, 1908, while trying a suit, in respect of the following matters, namely :--

(a)

the summoning and enforcing the attendance of any witness and examining him on oath;

(b)

the discovery and production of any document or other material object producible as evidence;

(c)

the reception of evidence on affidavits;

(d)

the issuing of any commission for the examination of witnesses.

(6)

Any investigation before the Commissioner shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228 of the Indian Penal Code and the Commissioner shall be deemed to be a Civil Court for the purposes of section 195, and Chapter XXVI, of the Code of Criminal Procedure, 1973.

(7)

A claimant who is dissatisfied with the decision of the Commissioner may prefer an appeal against such decision to the principal civil Court of original jurisdiction within the local limits of whose jurisdiction the registered office of the Company is situated :

Provided that where a person who is a Judge of High Court is appointed to be the Commissioner, such appeal shall lie to the High Court exercising jurisdiction over the place in which the registered office of the Company is situated and such appeal shall be heard and disposed of by not less than two Judges of that High Court.

22.

Disbursement of money by the Commissioner. - After admitting a claim under this Act, the amount due in respect of such claim shall be paid by the Commissioner to the person or persons to whom such amount is due, and on such payment, the liability of the Company in respect of such claim shall stand discharged.

23.

Disbursement of amounts to the Company. - (1) If, out of the moneys paid to him, in relation to the undertakings of the Company, there is a balance left after meeting the liabilities as specified in the Schedule, the Commissioner shall disburse such balance to the Company.

(2)

Where the possession of any machinery, equipment or other property has vested in the Central Government or a Government company under this Act, but such machinery, equipment or other property does not belong to the Company, it shall be lawful for the Central Government or the Government company to continue to possess such machinery or equipment or other property on the same terms and conditions under which they were possessed by the Company immediately before the appointed day.

24.

Undisbursed or unclaimed amount to be deposited with the general revenue account. - Any money paid to the Commissioner which remains undisbursed or unclaimed on the date immediately preceding the date on which the office of the Commissioner is finally wound up, shall be transferred by the Commissioner, before his office is finally wound up, to the general revenue account of the Central Government; but a claim to any money so transferred may be preferred to the Central Government by the person entitled to such payment and shall be dealt with as if such transfer had not been made, and the order, if any, for the payment of the claim being treated as an order for the refund of revenue.

Chapter VII

MISCELLANEOUS

25.

Act to have overriding effect. - The provisions of this Act shall have effect notwithstanding anything inconsistent therewith in any other law for the time being in force or in any instrument having effect by virtue of any law, other than this Act; or in any decree or order of any court, tribunal or other authority.

26.

Contracts to cease to have effect unless ratified by Central Government or Government company. - Every contract entered into by the Company in relation to any of its undertakings, which has vested in the Central Government under section 3, for any service, sale or supply, and in force immediately before the appointed day, shall, on and from the expiry of a period of thirty days from the date on which this Act receives the assent of the President, cease to have effect unless such contract is, before the expiry of that period, ratified in writing, by the Central Government or the Government company in which such undertaking has been vested under this Act and in ratifying such contract, the Central Government or the Government company may make such alterations or modifications therein as it may think fit;

Provided that the Central Government or the Government company shall not omit to ratify a contract and shall not make any alteration or modification in a contract--

(a)

unless it is satisfied that such contract is unduly onerous or has been entered into in bad faith or is detrimental to the interests of the Central Government or the Government company; and

(b)

except after giving the parties to the contract a reasonable opportunity of being heard and except after recording in writing its reasons for refusal to ratify the contract or for making any alteration or modification therein.

27.

Penalties. - Any person who,--

(a)

having in its possession, custody or control any property forming part of the undertakings of the Company, wrongfully withholds such property from the Central Government or the Government company; or

(b)

wrongfully obtains possession of, or retains, any property forming part of the undertakings of the Company; or

(c)

wilfully withholds or fails to furnish to the Central Government or the Government company or any person or body of persons specified by that Government or Government company, any document relating to such undertakings, which may be in his possession, custody or control; or

(d)

fails to deliver to the Central Government or the Government company or any person or body of persons specified by that Government or Government company, any assets, books of account, registers or other documents in his possession, custody or control, relating to the undertakings of the Company; or

(e)

wrongfully removes or destroys any property forming part of the undertakings of the Company or prefers any claim under this Act which he knows or has reasonable cause to believe to be false or grossly inaccurate,--

shall be punishable with imprisonment for a term which may extend to two years, or with fine which may extend to ten thousand rupees, or with both.

28.

Offences by companies. - (1) Where an offence under this Act has been committed by a company, every person who, at the time the offence was committed was in charge of and was responsible to the company for the conduct of the business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly :

Provided that nothing contained in this sub-section shall render any such person liable to any punishment, if he proves that the offence was committed without his knowledge or that he had exercised all due diligence to prevent the commission of such offence.

(2)

Notwithstanding anything contained in sub-section (1), where any offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any neglect on the part of, any director, manager, secretary or other officer of the company, such director, manager,

secretary or other officer shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation. - For the purposes of this section,--

(a)
"company" means any body corporate and includes a firm or other association of individuals; and

(b)
"director", in relation to a firm, means a partner in the firm.

29.

Protection of action taken in good faith. - (1) No suit, prosecution or other legal proceeding shall lie against the Central Government or any officer or other employee of that Government or the Custodian or the Government company or other person authorised by that Government, Custodian or Government company for anything which is in good faith done or intended to be done under this Act.

(2)
No suit or other legal proceeding shall lie against the Central Government or any officer or other employee of that Government or the Custodian or the Government company or other person authorised by that Government, Custodian or Government company for any damage caused or likely to be caused by anything which is in good faith done or intended to be done under this Act.

30.

Delegation of powers. - (1) The Central Government may, by notification, direct that all or any of the powers exercisable by it under this Act, other than the powers conferred by this section and sections 31 and 32, may also be exercised by such person or persons as may be specified in the notification.

(2)
Whenever any delegation of power is made under sub-section (1), the person to whom such power has been delegated shall act under the direction, control and supervision of the Central Government.

31.

Power to make rules. - (1) The Central Government may, by notification, make rules [*]
[For the Andhra Scientific Company Limited (Acquisition and Transfer of Undertakings) (Intimation regarding Mortgage, Charge, Lien or other Interest in any Property) Rules, 1985 ---See Gazette of India, 1-11-1985. Part II, Section 4, Ext., page 2. (No. 11).]
carrying out the provisions of this Act.

(2)
In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely :

(a)
the time within which, and the manner in which, an intimation referred to in sub-section (3) of section 4 shall be given;

(b)
the form and manner in which, and the conditions under which, the Custodian or Custodians shall maintain the accounts as required by section 12;

(c)
the manner in which the moneys in any provident fund or other fund referred to in section 14 shall be dealt with;

(d)
any other matter which is required to be, or may be, prescribed.

(3)
Every rule made by the Central Government under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

32.

Power to remove difficulties. - If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order, not inconsistent with the provisions of this Act, remove the difficulty :

Provided that no such order shall be made after the expiry of a period of two years from the date on which this Act receives the assent of the President.

THE SCHEDULE

(See Sections 18, 20(1), 21(1) and 23(1))

ORDER OF PRIORITIES FOR THE DISCHARGE OF LIABILITIES OF THE COMPANY

Post-take-over management period

Category I

Wages, salaries and other dues of the employees of the Company.

Category II

Loans advanced by the Central Government.

Category III

Any credit availed of by the Company for the purpose of carrying on any trading or manufacturing operations.

Category IV

Revenue, taxes, cesses, rates or any other dues to the Central Government or a State Government.

Pre-take-over management period

Category V

Arrears in relation to contributions to be made by the Company to the provident fund, salaries, wages and other amounts due to the employees of the Company.

Category VI

Revenue, taxes, cesses, rates or any other dues, including Employees' State Insurance contributions, to the Central Government, a Local Authority or a State Electricity Board.

Category VII

(i)

Any credit availed of by the Company for the purpose of carrying on any trading or manufacturing operations.

(ii)

Any other dues.

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